

Set B. Model Answer Scheme — Macroeconomics CSQ Practice

How to use this scheme. Each answer is written in the form of an A-grade student script, with the mark-scheme allocation shown in square brackets as a guide. Examiner notes at the end of each answer highlight common pitfalls. Diagrams are reproduced where the question demands one.

Section CS1. Singapore — Productivity Slowdown and Wage-Driven Inflation

Question 1

[2 marks]

Change in real wage growth, 2019–2022. Real wage growth fell from 2.8% in 2019 to 0.4% in 2022.

$$\Delta = 0.4 - 2.8 = -2.4 \text{ percentage points.}$$

[1 mark for working, 1 mark for correct answer with units (percentage points).]

Examiner Note. The key error here is mixing “percentage” with “percentage points”. A change from 2.8% to 0.4% is a –2.4 percentage-point change, not a –2.4% change.

Question 2

[2 marks]

Unit labour cost (ULC). Unit labour cost is the average cost of labour per unit of real output produced, calculated as nominal compensation per worker (or per hour) divided by labour productivity.

[2 marks: precise formula-based definition.]

It rises when nominal wages grow faster than labour productivity, and falls when productivity outpaces wage growth.

Examiner Note. The formula matters. Stating “the cost of labour” alone earns 1 mark; mentioning the productivity denominator earns the second.

Question 3

[4 marks]

Foreign workforce contraction and unit labour costs.

Between 2019 and 2021, Singapore’s foreign workforce share fell from 38.7% to 33.7% (Table 1.1), reflecting both Covid border restrictions and subsequent tightening of work permit quotas (Extract 1.1).

[1 mark for data anchor.]

Foreign workers, particularly Work Permit holders in construction, manufacturing, and services, are typically paid at lower wage rates than equivalently productive resident workers. When firms cannot replace departing foreign workers, they must substitute resident labour at higher wages. Because the productivity of the substitute resident labour is not systematically higher (and may be lower in occupations where foreign workers were specialised), the wage-per-unit-output ratio rises.

[2 marks for substitution mechanism.]

The data in Table 1.1 confirm the mechanism: ULC growth swung from -1.4% in 2021 to $+6.1\%$ in 2022, the period during which the foreign workforce share fell most rapidly. *[1 mark for explicit linkage to ULC data.]*

Examiner Note. Strong answers explicitly distinguish wage substitution from productivity substitution. The mechanism is not that resident workers are less productive in absolute terms — it is that the wage paid to them is higher for similar output, raising the cost per unit.

Question 4

[4 marks]

Unit labour cost rise and export competitiveness.

A 7.1% rise in ULC means that Singapore firms' labour cost per unit of output has increased substantially. Since labour costs typically account for 30–50% of total production costs in tradeable manufacturing and services, this directly raises firms' break-even export prices. *[2 marks: mechanism + magnitude framing.]*

Firms then face a choice: (i) raise foreign-currency export prices, reducing the quantity of exports demanded (especially in price-elastic markets such as electronics), or (ii) absorb the cost via lower profit margins, reducing investment capacity. Either way, Singapore's price competitiveness erodes relative to competitor economies (e.g. Vietnam, Malaysia) where ULC growth has been slower or where the exchange rate has been allowed to depreciate. *[2 marks for the dual-channel competitiveness erosion.]*

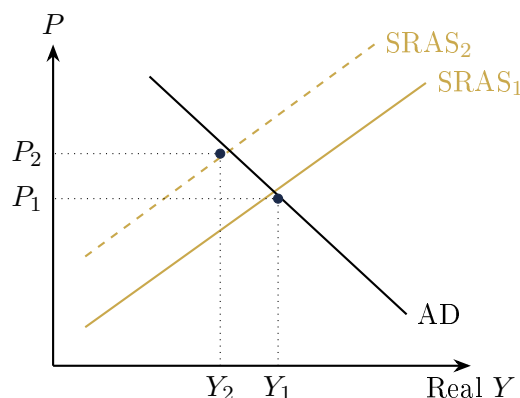
Examiner Note. The strongest answers identify that ULC affects competitiveness whether firms pass it through or absorb it. Stating only "exports become more expensive" captures only half the mechanism.

Question 5

[6 marks]

Wage-cost inflation in domestic services.

The domestic services sector (food and beverage, healthcare, retail, education, transport) is highly labour-intensive: labour costs typically account for over 50% of operating costs. When ULC rises by 7.1% (Table 1.1), services-sector firms face directly higher input costs, with limited scope to offset through productivity gains. *[1 mark for labour-intensity argument.]*



In the diagram, the rise in ULC shifts $SRAS$ from $SRAS_1$ to $SRAS_2$ (leftward), as production at every output level becomes more costly. With AD unchanged in the short run, equilibrium

output falls from Y_1 to Y_2 and the price level rises from P_1 to P_2 . [2 marks for diagram fully labelled.]

Crucially, services are largely non-tradeable, so unlike manufactured goods, their prices cannot be disciplined by international competition. Service-sector firms can pass cost increases through to consumer prices with limited substitution risk. [1 mark for non-tradeable insight.]

This explains why MAS reported (Extract 1.1) that “Domestic services inflation, which is tightly linked to wage costs, has become the principal driver of underlying inflation,” replacing the earlier imported cost shock as the dominant inflationary channel. [1 mark for extract anchor.]

The implication is that exchange-rate tightening alone, which works primarily through the imported-inflation channel, has diminished effectiveness against this domestic services component. Supply-side productivity policies become the appropriate complement. [1 mark for policy implication.]

Examiner Note. The non-tradeable insight is the key analytical move. Without it, the answer is generic SRAS shift; with it, the answer demonstrates the precise mechanism by which wage-driven inflation persists.

Question 6

[6 marks]

Two supply-side policies to address productivity stagnation.

Policy 1: Targeted productivity grants for SMEs. The Productivity Solutions Grant (PSG) co-funds up to 50% of the cost of pre-approved digital and automation solutions (e.g. inventory management systems, robotics) for SMEs. Since the services sector is dominated by SMEs (over 99% of firms by count), broader uptake would directly raise value-added per hour in the sector where productivity stagnation is most acute. Effective implementation requires both increased grant quanta and reduced administrative complexity, since Extract 1.1 notes that PSG has reached “only a modest share” of SMEs. [3 marks: instrument + targeting rationale + implementation critique.]

Policy 2: Sector-specific re-skilling under SkillsFuture. SkillsFuture provides training credits to Singaporean workers across all sectors. To raise services productivity specifically, the government can target funding toward digital fluency, customer-service-technology integration, and managerial training. The longer-run effect is to raise the marginal product of resident labour, allowing ULC to be contained even as nominal wages rise — breaking the productivity–wage disjuncture. The gestation period is 3–5 years; this is a long-run rather than immediate intervention. [3 marks: instrument + mechanism on ULC + time-horizon caveat.]

Examiner Note. Top answers always include the time-horizon caveat for supply-side policies: they raise potential output *eventually*, not immediately. Without this, an answer can be marked down as “unrealistic about effectiveness”.

Section CS2. United Kingdom — Post-Brexit Trade Costs and the Current Account Deficit

Question 1

[2 marks]

UK goods trade balance, 2019–2023. The goods trade balance deteriorated significantly,

widening from a deficit of 5.8% of GDP in 2019 to a deficit of 7.5% of GDP in 2023, an increase of 1.7 percentage points. The deficit peaked at 8.0% in 2022 before narrowing slightly in 2023. *[1 mark for direction, 1 mark for magnitude with intermediate peak.]*

Examiner Note. Naming the 2022 peak (8.0%) earns the second mark by demonstrating engagement with the full data series.

Question 2

[2 marks]

Non-tariff trade barriers (NTBs). NTBs are policy measures other than ordinary customs tariffs that restrict trade, including quotas, customs procedures, sanitary and phytosanitary regulations, rules-of-origin requirements, technical standards, and licensing requirements. *[2 marks: definition with at least two examples drawn from the extract or general knowledge.]*

Examiner Note. A pure definition without examples earns 1 mark. Stating “customs declarations” and “rules-of-origin” from the extract demonstrates application.

Question 3

[4 marks]

NTBs and the widening goods trade deficit.

Extract 2.1 reports that post-Brexit NTBs raised the effective UK–EU trade cost by approximately 14 percentage points. This functions economically like a substantial tariff: it raises the cost of UK goods to EU buyers and EU goods to UK buyers. *[1 mark for magnitude + mechanism.]*

For UK exporters to the EU, the higher cost reduces price competitiveness, leading to lower export volumes. UK goods exports to the EU fell by 18% in 2021 immediately following the introduction of NTBs (Extract 2.1). *[1 mark for export-side data anchor.]*

The NTBs disproportionately affected SMEs because compliance costs (customs paperwork, certifications) have a high fixed component. Many SMEs ceased EU exports entirely, removing an entire layer of UK exporters from the EU market and worsening the trade balance structurally rather than cyclically. *[1 mark for SME exit channel.]*

The mirror effect on imports is smaller — UK demand for EU goods is more inelastic (no easy substitutes for many EU intermediate inputs, machinery, and consumer products) — so the import side fell by less than the export side. The asymmetric response between exports (sharp fall) and imports (smaller decline) widened the goods trade deficit. *[1 mark for elasticity asymmetry argument.]*

Examiner Note. The asymmetric elasticity argument is what distinguishes a 4-mark answer from a 2-mark answer. Many candidates miss that the deficit widens precisely because exports fall more than imports.

Question 4

[4 marks]

Why services surplus has not offset the goods deficit.

The UK’s services surplus grew modestly from 5.0% of GDP (2019) to 5.4% (2023), an increase of 0.4 percentage points. Over the same period, the goods deficit widened by 1.7 percentage points

(Q1). The services improvement is therefore around one-quarter of the goods deterioration, leaving a structural shortfall. *[2 marks for quantitative comparison.]*

Two reasons explain why services cannot fully offset goods:

First, the EU–UK Trade and Cooperation Agreement provides much weaker market access for services than for goods (Extract 2.1). Many services trades require regulatory recognition (e.g. financial-services passporting, professional qualifications) that the agreement does not cover, capping the scope for further services-export expansion. *[1 mark for regulatory ceiling.]*

Second, the services surplus growth (post-2021) was partly driven by post-Covid recovery in tourism and a strong London financial centre — both factors that may not sustain. The structural gap between goods imports (necessities) and services exports (discretionary, choice-based) means services cannot replace the volume that the goods deficit imposes. *[1 mark for sustainability concern.]*

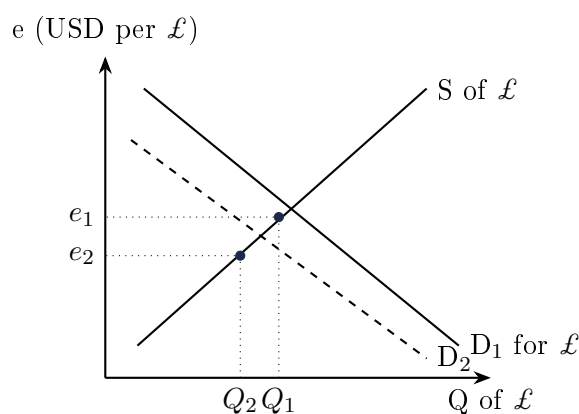
Examiner Note. Strong answers quantify both sides (the goods deficit and the services surplus) explicitly, showing that the magnitudes do not align. Hand-wavy answers earn 2 marks at best.

Question 5

[6 marks]

Depreciation and the current account: mechanism and condition.

A depreciation of the pound makes UK exports cheaper in foreign currency and imports more expensive in pounds. The two channels working in opposite directions are: (i) increased quantity of exports demanded, raising export revenue, and (ii) reduced quantity of imports demanded, lowering import spending. The current account, equal to export revenue minus import spending, improves. *[2 marks for mechanism.]*

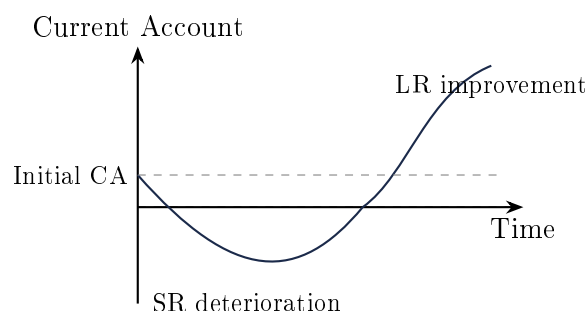


In the diagram, a fall in foreign demand for the pound ($D_1 \rightarrow D_2$) reflects, for example, lower demand for UK services exports. The exchange rate falls from e_1 to e_2 — the pound has depreciated. *[1 mark for FX diagram fully labelled.]*

Condition for improvement to occur: the Marshall–Lerner condition. The current account improves only if the sum of the absolute values of the price elasticities of demand for exports and imports exceeds 1:

$$|PED_X| + |PED_M| > 1$$

If this condition does not hold (i.e. in the very short run when contracts are fixed in nominal terms), the value of imports rises faster than the value of exports, and the current account deteriorates first — the J-curve effect. *[2 marks for naming the condition with formula.]*



The J-curve shows the typical pattern: short-run deterioration followed by long-run improvement once quantities adjust. [1 mark for J-curve diagram.]

Examiner Note. The Marshall–Lerner condition with its formula is the precise answer the mark scheme requires. Saying “it depends on demand elasticities” earns 1 mark; specifying $|PED_X| + |PED_M| > 1$ earns 2.

Question 6

[6 marks]

Foreign portfolio inflow reliance and economic vulnerability.

Reason 1: Currency crisis risk. Portfolio investors (in equities and government bonds) can sell holdings rapidly when sentiment shifts. If a sustained current account deficit (3.5% of GDP in 2023, Table 2.1) requires ongoing portfolio inflows to finance, a sudden reversal — triggered by, e.g., political instability, fiscal news, or relative-interest-rate shifts — forces a sharp depreciation of the pound. The depreciation raises imported inflation, requires emergency monetary tightening, and can cascade into a confidence crisis (cf. the September 2022 “mini-budget” episode). [3 marks: mechanism + macroeconomic consequence + historical reference.]

Reason 2: Debt-servicing vulnerability. Foreign portfolio investors hold UK government debt at variable demand. If they demand higher yields to compensate for perceived risk, UK government borrowing costs rise across the maturity curve. With public-sector net debt over 95% of GDP and a primary fiscal deficit, higher yields raise debt-service costs sharply, crowding out other public spending and worsening the fiscal trajectory — which in turn worsens investor confidence in a self-reinforcing loop. The Bank of England specifically warned of this dynamic (Extract 2.1). [3 marks: yield-demand mechanism + fiscal feedback + extract anchor.]

Examiner Note. The strongest answers describe vulnerability as a *self-reinforcing loop* rather than a single shock. The 2022 “mini-budget” episode is a powerful real-world example to cite if you can name it.

Section CS3. Indonesia — FDI, Nickel Processing, and Exchange-Rate Management

Question 1

[2 marks]

Percentage change in Indonesia nickel exports, 2018–2022.

$$\frac{14.0 - 1.6}{1.6} \times 100\% = +775\%$$

[1 mark for working, 1 mark for the answer.] Indonesian nickel exports rose by approximately 775% (or roughly 8.75-fold) between 2018 and 2022.

Examiner Note. Always state the order of magnitude (here, nearly 9-fold). Pure percentage growth above 100% is best supplemented with a multiplier interpretation for readability.

Question 2

[2 marks]

Foreign direct investment (FDI). FDI is cross-border investment in which a resident of one economy acquires a lasting controlling interest (typically defined as 10% or more of voting equity) in an enterprise resident in another economy, with the intention of exerting management influence. [1 mark.]

Evidence of greenfield/productive nature: Extract 3.1 cites the Morowali Industrial Park, an “integrated complex housing smelting, processing, and increasingly battery-precursor manufacturing,” and Tsingshan’s “cumulative committed Chinese FDI in Indonesian nickel processing. . . over US\$30 billion” — both physical-plant investments distinct from financial portfolio flows. [1 mark for evidence.]

Examiner Note. The distinguishing word is “lasting controlling interest” — this separates FDI from portfolio investment. Quoting the Morowali Park is the cleanest evidence of greenfield FDI.

Question 3

[4 marks]

FDI-led nickel strategy and the current account.

The strategy has produced a clear shift in the trade balance. Nickel exports rose from US\$1.6 billion (2018) to US\$14.0 billion (2022) — a US\$12.4 billion gain (Table 3.1). This contributed directly to a current account swing from a deficit of 2.7% of GDP (2019) to a surplus of 1.0% (2022), driven by stronger goods export earnings. [2 marks: data + mechanism.]

However, the FDI strategy works through two opposing channels: *Channel 1 (positive for CA)*: Onshore processing captures more of the global value chain inside Indonesia, raising the export value-added per unit of raw ore. *Channel 2 (negative for CA)*: The processing facilities are import-intensive (capital equipment, intermediate inputs from China), and profits accrue partly to foreign-invested firms, reducing the primary income surplus. [1 mark for dual-channel framing.]

The 2023 reversal of the surplus toward a slight deficit (−0.1%) reflects these countervailing pressures: weaker global demand and increased imports for further capacity expansion. The strategy has been successful in raising the trade balance but its impact on the primary income balance is structurally constrained by foreign ownership of the processing assets. [1 mark for primary-income caveat.]

Examiner Note. Top answers distinguish the trade balance from the broader current account. FDI improves the trade balance but worsens the income balance through profit repatriation — the net effect on the current account depends on the relative magnitudes.

Question 4

[4 marks]

Higher policy rate and rupiah stabilisation.

A higher Bank Indonesia policy rate raises the rate of return on rupiah-denominated assets (e.g. Indonesian government bonds, time deposits) relative to comparable US dollar assets. *[1 mark for interest-rate-return mechanism.]*

At the higher rate, international capital flows are redirected into the rupiah market: foreign investors purchase rupiah-denominated assets, which requires them to buy rupiah and sell their existing currency holdings. The demand for the rupiah on the foreign exchange market rises, supporting its exchange rate against the US dollar. *[2 marks for FX-market transmission.]*

This is particularly important when the US Federal Reserve is raising US rates — as Extract 3.1 notes — because the policy rate differential between IDR and USD assets shrinks. Bank Indonesia's rate hike from 3.5% to 6.0% restored the relative-return attractiveness of holding rupiah assets, slowing the depreciation pressure. *[1 mark for relative-return context.]*

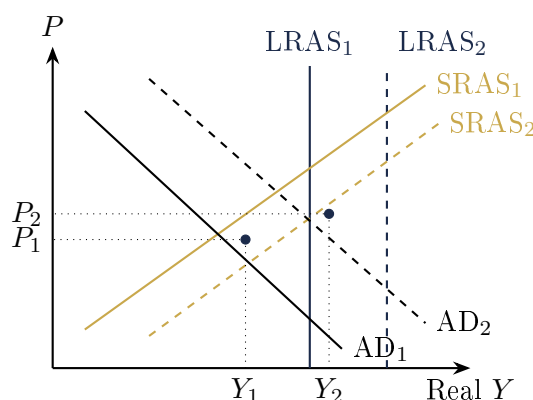
Examiner Note. The full transmission is: higher policy rate → higher relative return → capital inflows → higher demand for rupiah → exchange rate stabilises. Skipping the capital-flow step is the most common gap in student answers.

Question 5

[6 marks]

FDI surge and aggregate supply, SR and LR.

Short-run AS effect. FDI directly funds new plant construction (the Morowali Industrial Park, Extract 3.1) and equipment purchases. Once operational, these facilities expand current productive capacity, increasing the maximum output the economy can produce at any given price level. SRAS shifts rightward. *[1 mark for SR mechanism.]*



In the diagram, both SRAS shifts from $SRAS_1$ to $SRAS_2$ and LRAS shifts from $LRAS_1$ to $LRAS_2$, reflecting both the immediate capacity expansion and the long-run growth in potential output. *[2 marks for diagram fully labelled.]*

Long-run AS effect. Beyond the immediate capacity addition, FDI brings technology transfer (smelting processes, battery-precursor manufacturing know-how), management practices, and supplier-base development. These spill over to domestic firms via labour mobility (workers trained in foreign-invested facilities later move to domestic firms), supply-chain linkages (local subcontractors learn international quality standards), and demonstration effects. These channels raise total factor productivity (TFP) over time, shifting LRAS rightward sustainably. *[2 marks for technology spillover channel.]*

The combined effect lowers the equilibrium price level and raises real GDP. Net FDI rose from US\$18.5 billion (2020) to US\$25.4 billion (2022), or 37%, while Indonesian real GDP growth

recovered to 5.3% in 2022 (Table 3.1) — consistent with this dual-AS expansion. *[1 mark for data linkage.]*

Examiner Note. For full marks the diagram must show *both* SRAS and LRAS shifting. A common error is to show only SRAS, treating FDI as a one-off expansion rather than a sustained capacity build.

Question 6

[6 marks]

Two reasons why nickel-export-restriction strategy may not sustain development.

Reason 1: Foreign control of technology and value capture. Extract 3.1 notes that “Chinese investors retain effective control over technology and management.” If domestic Indonesian firms do not develop substantive technical and managerial capabilities through the FDI process, the long-run benefits of the strategy are limited. When the global nickel boom subsides, foreign investors can divest and relocate, leaving Indonesia with depreciated industrial assets and limited indigenous capacity to redirect. The structural transformation is therefore vulnerable to a single external decision. *[3 marks: mechanism + extract anchor + sustainability concern.]*

Reason 2: Concentrated demand exposure. Indonesian nickel processing is now dependent on a single, narrow source of final demand — the global electric vehicle battery supply chain (Extract 3.1). If EV demand growth slows (e.g. slower-than-expected EV adoption, substitution to lithium-iron-phosphate batteries that use less nickel, or geopolitical sanctions), Indonesian nickel exports could fall sharply. The strategy has traded one form of commodity-price dependence (raw ore) for a different form of demand concentration (battery-grade products). True long-run development would require diversification of both export markets and product complexity. *[3 marks: concentration mechanism + structural critique + diversification implication.]*

Examiner Note. The structural critique distinguishes top answers: the strategy substitutes one dependency for another, rather than achieving genuine diversification. Listing only environmental concerns (a valid third point but lower-scoring) would cap at 4 marks.

Section CS4. Vietnam — Export-Led Growth and the Inflation Pressure Test

Question 1

[2 marks]

Vietnam real GDP growth, 2018–2023. Real GDP growth was robust pre-pandemic at 7.1% (2018) and 7.0% (2019), fell sharply to 2.9% (2020) and 2.6% (2021) during the pandemic, rebounded to 8.0% in 2022, then moderated to 5.1% in 2023. *[1 mark for trend; 1 mark for naming peaks and trough.]*

Examiner Note. The 2-mark “describe” rewards three pieces of information: pre-pandemic level, pandemic trough, and post-pandemic recovery. Listing only “it fluctuated” earns 1 mark.

Question 2

[2 marks]

Net FDI disbursements. Net FDI disbursements is the value of foreign direct investment funds

actually drawn down and spent on real economic activity (construction, equipment, hiring), as opposed to “registered” FDI which only reflects committed but not yet realised amounts. *[2 marks for distinguishing disbursed from registered.]*

Examiner Note. The distinction between disbursed and registered FDI is non-trivial and demonstrates understanding of how FDI statistics are constructed. Without it, the answer is generic.

Question 3

[4 marks]

FDI as the principal driver of Vietnam’s export growth.

Extract 4.1 reports that “roughly 70 per cent of Vietnamese goods exports originate from the foreign-invested sector,” even though that sector employs only 25% of the workforce. This high concentration directly identifies foreign-invested firms as the principal export producers. *[1 mark for data anchor.]*

The mechanism is FDI-driven export specialisation. Multinational corporations such as Samsung Electronics (US\$20 billion cumulative investment in mobile phone manufacturing) and Apple’s contract manufacturers (Foxconn, Luxshare, Goertek) have built large-scale plants in Vietnam under the “China plus one” strategy. These firms bring three things absent in the indigenous Vietnamese economy: (i) the capital scale required for export-grade manufacturing, (ii) the technology and process knowledge required for advanced electronics assembly, and (iii) the integration into global value chains, including supplier networks, logistics, and customer relationships. *[2 marks for FDI-bundle mechanism.]*

Once established, foreign-invested facilities can rapidly scale production for export, leveraging Vietnam’s low labour costs and proximity to China. Goods exports grew from US\$244 billion (2018) to US\$371 billion (2022), a 52% increase, almost entirely attributable to expanded foreign-invested manufacturing capacity. *[1 mark for growth attribution.]*

Examiner Note. The key insight is the bundled nature of FDI: capital, technology, and value-chain integration are inseparable. Without all three, indigenous firms cannot replicate the foreign-invested sector’s export performance — which is why the strategy is so concentrated.

Question 4

[4 marks]

Vietnam CPI inflation, 2021–2022.

CPI inflation rose from 1.8% in 2021 to 3.2% in 2022. Two channels contributed:

Channel 1: Imported inflation via the dong. The dong depreciated from 22790 per US dollar (year-end 2021) to 23615 per US dollar (year-end 2022), a fall of 3.6%. While modest compared to other regional currencies, this raised the dong-denominated price of imports (energy, intermediate inputs, food), particularly given Vietnam’s high import-intensity of manufacturing exports. *[2 marks for FX-pass-through channel with magnitude.]*

Channel 2: Demand-side pressure from export-led recovery. Real GDP growth rebounded from 2.6% (2021) to 8.0% (2022). This rapid post-Covid expansion drove tightening labour and goods markets, with strong external demand from the China-plus-one rerouting (Extract 4.1) raising both export revenue and domestic consumption. AD shifted rightward, raising the equilibrium price level. *[2 marks for AD-driven demand-pull channel.]*

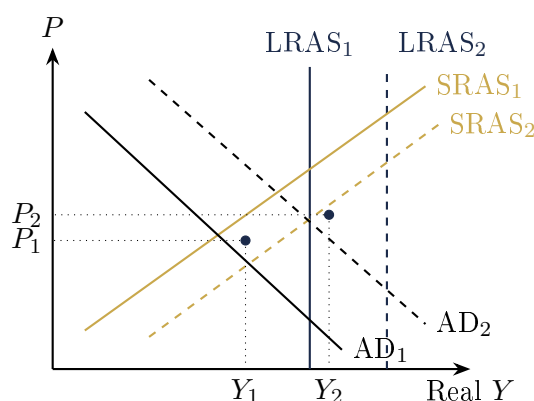
Examiner Note. Top answers distinguish the two channels — imported inflation (supply-side) and demand-pull (demand-side) — recognising that 2022 inflation in Vietnam was hybrid rather than purely either type.

Question 5

[6 marks]

FDI-led export growth: short-run and long-run effects.

Short-run effect (AD). FDI-financed export production generates immediate increases in (X) and induces additional capital investment (I) by both foreign and supporting domestic firms. AD shifts rightward, raising real GDP and employment. [1 mark for AD mechanism.]



Long-run effect (LRAS). Sustained FDI builds Vietnam's capital stock (Samsung's US\$20 billion plant, ongoing additions by Apple suppliers — Extract 4.1), expands the productive capacity of the export sector, and transfers technology and managerial expertise. Combined with the growing labour force (Vietnam's working-age population is still rising), these channels shift LRAS rightward from LRAS₁ to LRAS₂. [2 marks for diagram fully labelled.]

The combined AD and LRAS expansion explains why Vietnam has been able to sustain 6–7% real growth pre-pandemic while maintaining inflation within the 4% target band (Table 4.1) — demand and supply have grown together, limiting inflationary pressure. [2 marks for AD-LRAS balance + data anchor.]

Critically, sustainability of this dual-shift growth requires continued FDI inflows. If FDI slowed (e.g. due to a major US–China deal removing the re-routing incentive), Vietnamese growth would revert toward the slower trend of domestic-only economies, and the AD–LRAS balance could break, generating either inflation or output gaps. [1 mark for fragility caveat.]

Examiner Note. The strongest 6-mark growth answers show both AD and LRAS shifting together. This is the textbook signature of *sustained* growth and what separates it from short-run AD-only stimulus.

Question 6

[6 marks]

Two reasons Vietnam is vulnerable to external shocks.

Reason 1: Concentration in the foreign-invested sector. Extract 4.1 reports that 70% of goods exports originate from foreign-invested firms. If multinational corporations relocate (e.g. to India, Bangladesh, or further into Vietnam's interior) for cost, geopolitical, or regulatory reasons, a substantial share of Vietnam's export base could shift in a relatively short period. The domestic

firms have limited integration into these supply chains (Extract 4.1: “domestic firms have limited integration into the foreign-invested supply chains”), so the loss is not easily backfilled. This makes Vietnam’s growth model dependent on the continued geographic preferences of a small number of large multinationals. *[3 marks: concentration mechanism + extract anchor + asymmetry of replacement.]*

Reason 2: Limited monetary autonomy. Extract 4.1 notes that the State Bank of Vietnam has tightly managed the dong against the dollar, depreciating just 4% in 2022 while comparable currencies (yen, rupiah) weakened by 20% and 8%. This requires the State Bank to follow US Federal Reserve policy closely — when the Fed raises rates, the State Bank must raise rates correspondingly to preserve the dong peg, even if Vietnamese domestic conditions would call for a different stance. During a US-led tightening cycle that coincides with a Vietnamese downturn, monetary policy cannot provide counter-cyclical support, magnifying the external shock. *[3 marks: monetary autonomy mechanism + trilemma logic + extract anchor.]*

Examiner Note. Identifying the trilemma constraint (Vietnam keeps an FX peg and capital mobility, so loses monetary autonomy) is the precision move that distinguishes top answers. Listing only “small open economy” caps at 4 marks.

End of Set B Model Answer Scheme